Comparative Financial Stability Vulnerability Assessment – November 2025

Briefing Note for Bilateral Meeting of Senior Policymakers | Sources: ECB Financial Stability Review (May & Nov 2025), Federal Reserve Financial Stability Report (Nov 2025)

Executive Summary: Both the euro area (EA) and United States (US) exhibit elevated financial stability vulnerabilities interwoven with policy and geopolitical uncertainty—most notably surrounding US trade policy. Although markets recovered substantially from the April 2025 tariff-induced turmoil, underlying vulnerabilities persist. Stretched asset valuations leave both jurisdictions susceptible to sudden repricing. Corporate vulnerabilities are significantly more elevated in the EA, where tariff-sensitive manufacturing firms face deteriorating balance sheets and rising bankruptcies. In the US, financial-sector leverage—particularly among hedge funds and life insurers—has risen to historically high levels, even as aggregate household and business debt-to-GDP remains at 20-year lows. A critical shared vulnerability is the growing role of non-bank financial intermediation (NBFI) and its bank linkages. The overall risk rating is **Elevated** for both jurisdictions, with the EA facing additional downside from sovereign fragmentation risk.

1. Comparative Vulnerability Assessment

Category	EA Rating	Key Drivers – Euro Area	US Rating	Key Drivers – United States
(a) Asset Valuations	ELEVATED	• Stretched valuations and risk concentration make markets prone to outsized reactions (ECB May 2025, Chart 3). • Medium-term tariff implications may challenge risky asset valuations (§2.2). • Non-bank liquidity fragilities could amplify shocks.	ELEVATED	• S&P 500 forward P/E near upper end of historical range; equity premium near 20-year low (Fed FSR Figs. 1.4–1.5). • Corporate bond spreads historically compressed: triple-B ~0.7pp and high-yield ~1.6pp below medians (Fig. 1.8); excess bond premium below long-run average (Fig. 1.9). • CRE prices contracted at −5.6% y/y (Table 1.1).
(b) Borrowing by Businesses & Households	ELEVATED	• Corporate vulnerabilities remain elevated as tariffs take hold (ECB Nov 2025, Chart 4). • Corporate vulnerability index elevated; manufacturing Altman Z-scores deteriorating (Chart 1.6). • Bankruptcies elevated; new loan volumes 28% below 2019–25 average. • Household resilience may weaken if layoffs impair debt servicing.	MODERATE	• Total business and household debt/ GDP stable at 20-year lows (Fed FSR Overview). • Credit card and auto loan delinquencies remain above pre-pandemic levels (§2). • Market-implied default probabilities consistent with benign conditions; leveraged loan spreads at low end of historical distribution (Fig. 1.10).
(c) Leverage in the Financial Sector	MODERATE	• Banks maintain robust capital and liquidity buffers; profitability solid but facing headwinds (ECB May 2025, §3.1; Nov 2025, Chart 5). • Credit risk exposures to tariff-sensitive firms and	ELEVATED	• Hedge fund leverage steadily increased across Treasury, rates, and equity strategies (Fed FSR Overview). • Life insurer leverage in top quartile of historical distribution (§3). • Banks well-capitalised above regulatory requirements; broker-dealer

		growing NBFI funding ties pose challenge (Chart 5c). • Investment fund leverage monitored (ECB May 2025, Chart 3c).		leverage near historical lows. • Bank credit to SPEs, CLOs, and ABS continued to increase notably.
(d) Funding Risks	MODERATE	• Higher issuance costs may strain weak sovereigns; fiscal slippage could trigger sovereign fragmentation (ECB Nov 2025, Chart 3). • Defence spending adds fiscal pressure for high-debt countries (ECB May 2025, Chart 5). • NBFI-bank funding linkages growing via deposits, repos, and bonds (Chart 5c). • Market functioning held up in April turmoil.	MODERATE	• MMF assets grew, driven by government MMFs—least susceptible to large redemptions (Fed FSR Overview). • Fragile investment vehicles/GDP near historical median (Box 4.1). • Banks' uninsured deposit reliance well below 2022–23 peaks (§4). • Treasury market liquidity recovered from April lows but structural fragility revealed.

2. Common Risks and Notable Divergences

2.1 Most Salient Common Risks

1. **Trade policy uncertainty.** Both institutions identify US trade policy as the foremost near-term threat. The US effective tariff rate has risen sharply (ECB Nov 2025, Chart 1.1a), while the Fed's Survey of Salient Risks (Sep–Oct 2025) ranks policy uncertainty and geopolitical risks as the most cited threats. The April 2025 sell-off—unmatched since COVID-19—demonstrated this channel's potency.
2. **Stretched asset valuations.** Equity valuations are near upper historical bounds and credit spreads historically compressed in both jurisdictions, implying limited compensation for risk. The April episode underscored the speed at which repricing can occur.
3. **NBFI as a systemic amplifier.** Both reports devote substantial attention to NBFI. The ECB highlights systemic risks in bank-NBFI linkages (ECB Nov 2025, Special Feature) while the Fed flags elevated hedge fund leverage and rising bank credit to CLOs/ABS. Liquidity mismatches in investment funds could amplify dislocations via fire sales and margin spirals.
4. **Geopolitical fragmentation.** The ECB warns of “broad risk of geoeconomic fragmentation” raising the probability of severe tail events (ECB May 2025 Overview). Fed survey respondents cite geopolitical risks as a top concern alongside policy uncertainty.

2.2 Notable Divergences

1. **Corporate vulnerability gradient.** EA corporate vulnerabilities are significantly higher, concentrated in tariff-sensitive manufacturing with deteriorating Altman Z-scores and elevated bankruptcies (ECB Nov 2025, Charts 1.5–1.6). US nonfinancial corporates benefit from debt/GDP at 20-year lows, though consumer credit stress (credit card and auto delinquencies above pre-pandemic) is a concern.
2. **Financial sector leverage distribution.** US hedge fund and life insurer leverage are at elevated historical levels not matched in the EA, where bank capital and liquidity buffers are robust. The EA concern centres on bank-NBFI interconnections rather than outright regulated-entity leverage.
3. **Sovereign risk: unique EA vulnerability.** Sovereign fragmentation, driven by defence spending needs and rising interest costs in high-debt member states, is a distinct EA risk (ECB Nov 2025, Chart 3; ECB May 2025, Chart 5). The US, as reserve-currency issuer, does not face

analogous fragmentation, though April's atypical Treasury selling suggests US sovereign debt is not fully immune to confidence effects.
4. **CRE trajectories.** US CRE prices contracted (−5.6% y/y; Fed FSR Table 1.1), while EA real estate markets are recovering, albeit with headwinds from uncertainty (ECB May 2025, §1.5).

3. Cross-Border Transmission Channels

1. **Trade and supply-chain channel.** Further US tariff escalation would directly hit EA manufacturers reliant on US export markets. Tariff-sensitive sectors account for significant shares of EA employment, value added, and credit (ECB Nov 2025, Chart 4a). “Rolling recessions” could propagate through input-output linkages (Box 1).
2. **Global capital flow reallocation.** April 2025 revealed investors' willingness to reassess US asset riskiness, with signs of fund flow rotation toward the EA (ECB May 2025, Chart 2c). A disorderly reassessment could trigger sharp exchange rate adjustments and cross-border portfolio rebalancing.
3. **NBFI contagion.** EA investment funds hold significant US tech equity exposures (ECB May 2025, Chart 3b). A US-originated shock could trigger redemptions from EA funds, forcing asset sales that tighten financial conditions bilaterally. Hedge fund deleveraging in US Treasuries would transmit rapidly to EA government bond markets.
4. **USD activities of European banks.** Disruptions in dollar funding markets could impair European banks' intermediation capacity (ECB Nov 2025, Box 3), with repercussions for global trade finance.

4. Forward-Looking Assessment: Possible Triggering Shocks

1. **Trade policy escalation.** Further US tariff increases or new sectoral tariffs (e.g., automobiles, pharmaceuticals) would hit EA corporate earnings when balance sheets are already strained. Some 53% of surveyed EA firms already cite difficulty finding customers as a major concern (ECB Nov 2025, §1).
2. **Sudden risk repricing.** With the US equity premium near a 20-year low and credit spreads historically compressed, any catalyst—earnings disappointment, inflation surprise, or a sovereign credit event—could trigger rapid decompression of risk premia at the velocity witnessed in April 2025.
3. **Geopolitical shock.** Escalation beyond trade—including cyber threats to critical financial infrastructure (ECB May 2025, Box 1)—could disrupt market functioning and trigger correlated cross-asset losses.
4. **Sovereign stress in the EA.** Fiscal slippage in a large member state or abrupt spread widening could reignite the sovereign-bank nexus, given elevated debt/GDP ratios and rising defence expenditure commitments.
5. **NBFI dislocation.** Correlated margin increases or a jump in rate volatility could force leveraged hedge fund deleveraging, with spillovers to US Treasuries and, by extension, global fixed-income portfolios.

5. Conclusion: Overall Risk Ratings and Policy Recommendations

Overall Financial Stability Risk Rating – November 2025:

Euro Area: ELEVATED — Driven by corporate vulnerabilities, sovereign fragmentation risk, and trade-policy exposure. Bank resilience provides a mitigating buffer, but the interplay of weak corporate balance sheets, stretched sovereign positions, and growing NBFI linkages warrants heightened vigilance.

United States: ELEVATED — Driven by stretched asset valuations, elevated financial-sector leverage, and compressed risk premia. Aggregate leverage metrics appear manageable, but pockets of consumer credit stress and potential for disorderly NBFI deleveraging temper the assessment.

Policy Recommendations

1. **For both jurisdictions:** Strengthen NBFI leverage and liquidity monitoring, with emphasis on hedge fund Treasury positions and fund redemption risks. Enhance cross-border information-sharing on NBFI exposures and coordinate margining practices to reduce procyclicality.
2. **For the euro area:** Prioritise macroprudential buffers addressing the corporate vulnerability–bank asset quality nexus, especially for tariff-sensitive sectors. Advance Capital Markets Union to reduce bank-intermediation reliance. Monitor sovereign spreads and stand ready to deploy the Transmission Protection Instrument if fragmentation materialises.
3. **For the United States:** Maintain robust supervisory scrutiny of hedge fund and life insurer leverage, including stress testing of Treasury market intermediation under adverse scenarios. Monitor bank credit growth to SPEs, CLOs, and ABS for underwriting deterioration. Ensure April's Treasury liquidity recovery proves durable.
4. **Jointly:** Prepare contingency plans for a trade-escalation scenario combining lower growth, sticky inflation, and tighter financial conditions—a combination challenging both central banks' policy frameworks. Deepen cyber resilience coordination given cross-border infrastructure dependencies.

Sources: ECB, Financial Stability Review, November 2025; ECB, Financial Stability Review, May 2025; Board of Governors of the Federal Reserve System, Financial Stability Report, November 2025 (data as of 23 October 2025). All assessments drawn exclusively from these sources. This note reflects the professional judgement of the author and does not necessarily represent any institution's official position.

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